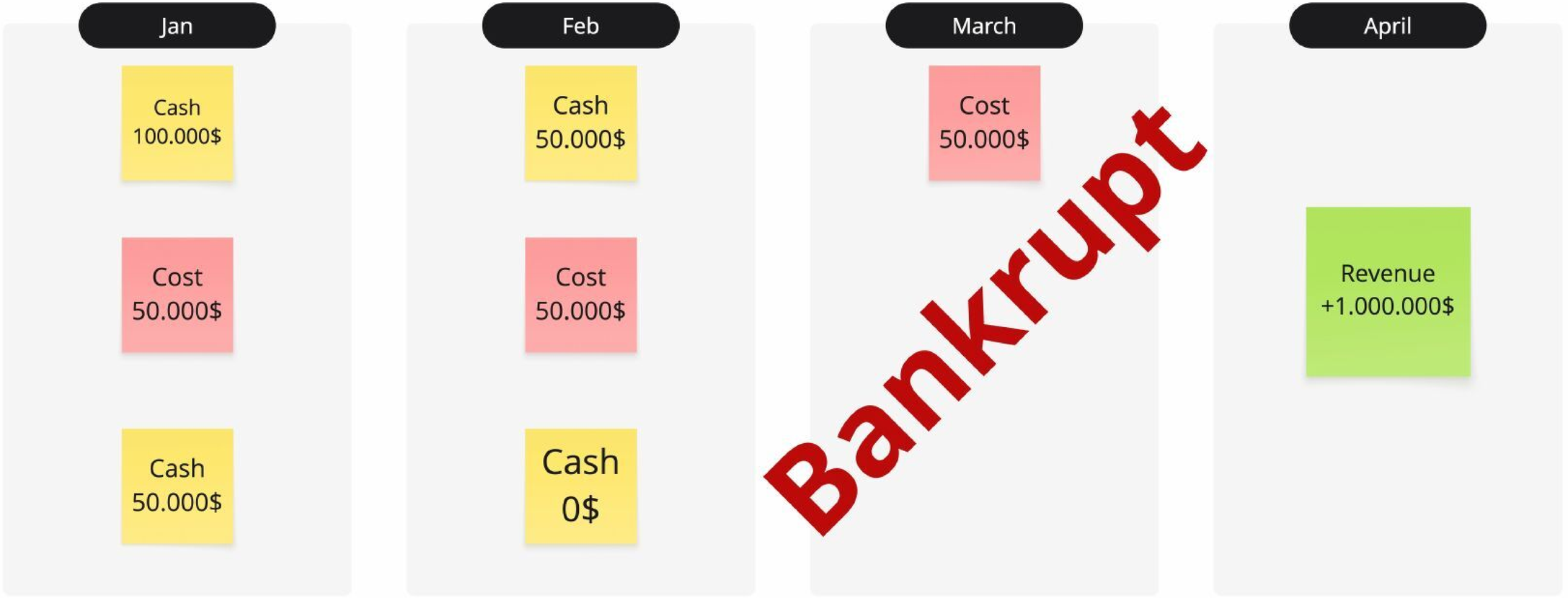
# Why it's never too early to start with sales

# Goals

1. Why watching over your cashflow is mission critical
2. Why Sales is more than just selling
3. How to start doing sales
4. Why building an effective sales pipeline takes time



# Watch your cashflow



# Why Sales is more than just selling

## Gain Market Insight

Every talk to your customer yields market/customer research data.

**Relevant:**

- Prioritize how to spend time
- Validates hypothesis
- Network

## Increase trust

Investors and customers love good sales results/orgs, because it means you've validated yourself on the market.

**Relevant:**

- Attracting investment
- Convincing reluctant customers

## Gain internal insights

How effective are you? Can you establish a repeatable and scaleable (sales) process?

**Relevant:**

- Hiring first sales member
- Growing your org

# How to start doing sales

# Stages of Sale

## Leads

**Lead generation**
Research and maintain list of potential customers

**Initial contact**

- Cold Call
- Calling Inbound Leads
- Leverage network

## Opportunities

Potential customer shows interest

**This is the actual hard work**

- requires follow-up
- sales material
- meetings
- negotiations

## Closing/Deal

Customer agrees to a contractual and transactional relationship

# Stages of After-Sale

### Production

Spec, build, test the product.

### Delivery/Operations

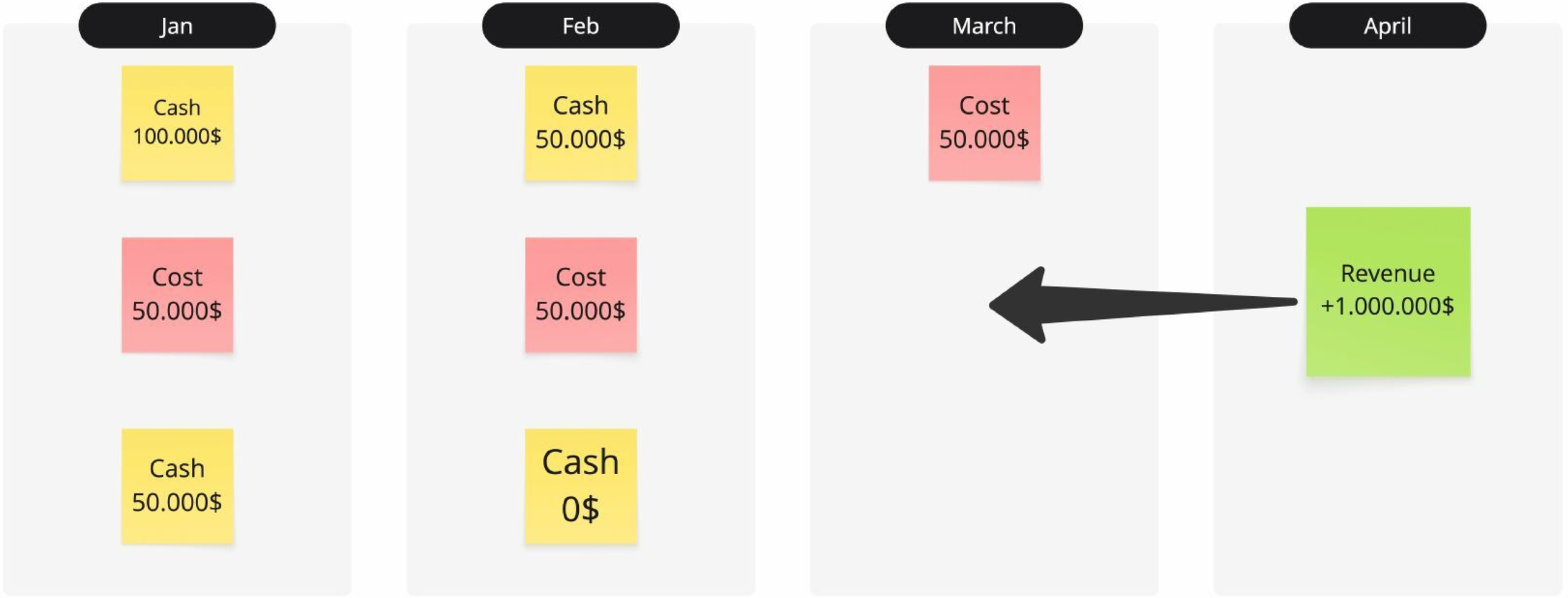
Ship (and maintain) the product.

Deliver the service.

### Customer success

Leads to longterm recurring revenue (e.g. Subscriptions) or up/cross selling

# Watch your cashflow



# Why building an effective sales pipeline takes time

# What is a sales pipeline

### Sales funel

Defines each stage of a sales process

=> Your orgs value through **volume** per stage.

### Conversion rate

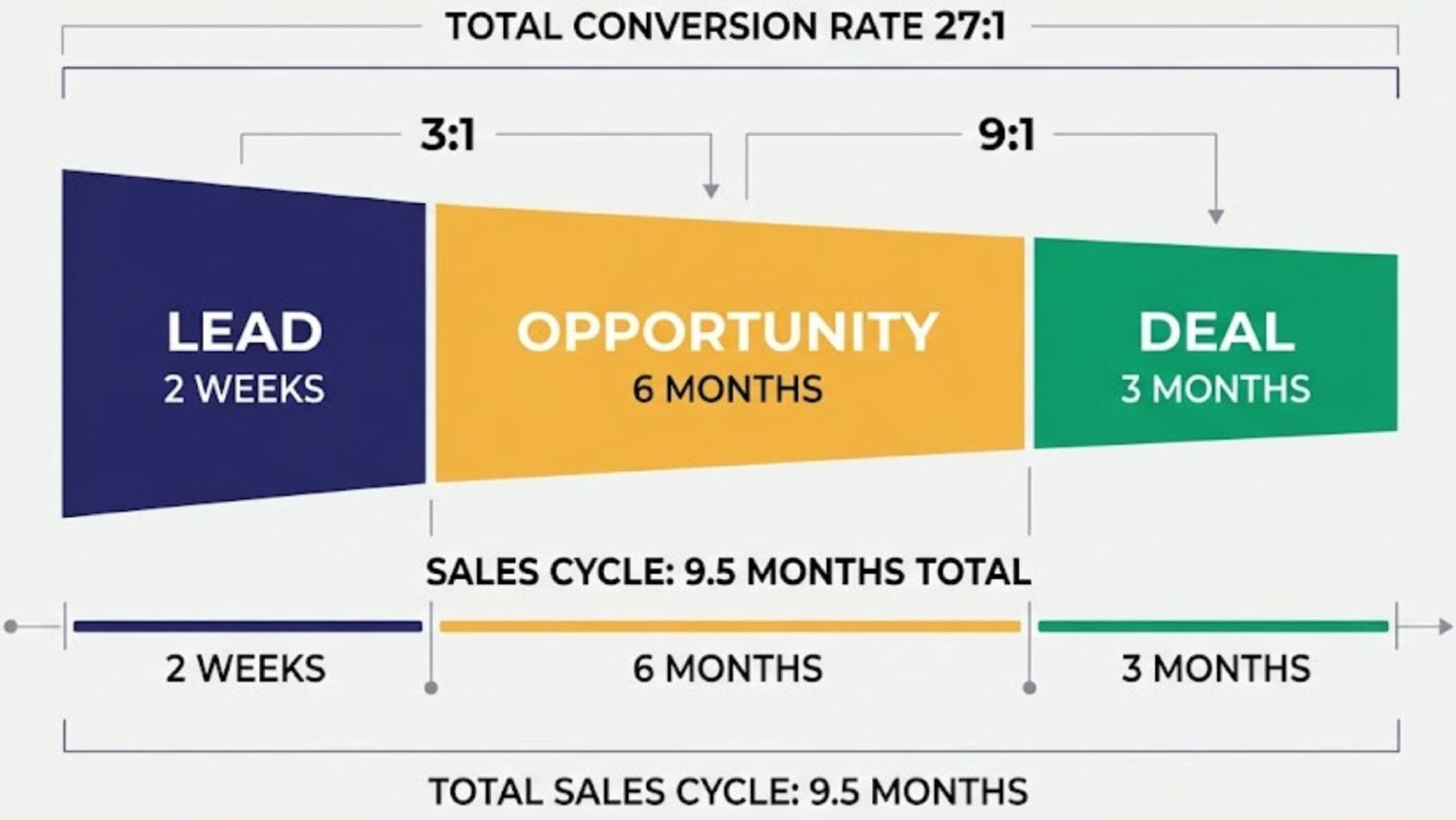
Defines how many actions in one stage converts to one success onto the next stage.

=> Your orgs value through the attractiveness of your **offering**.

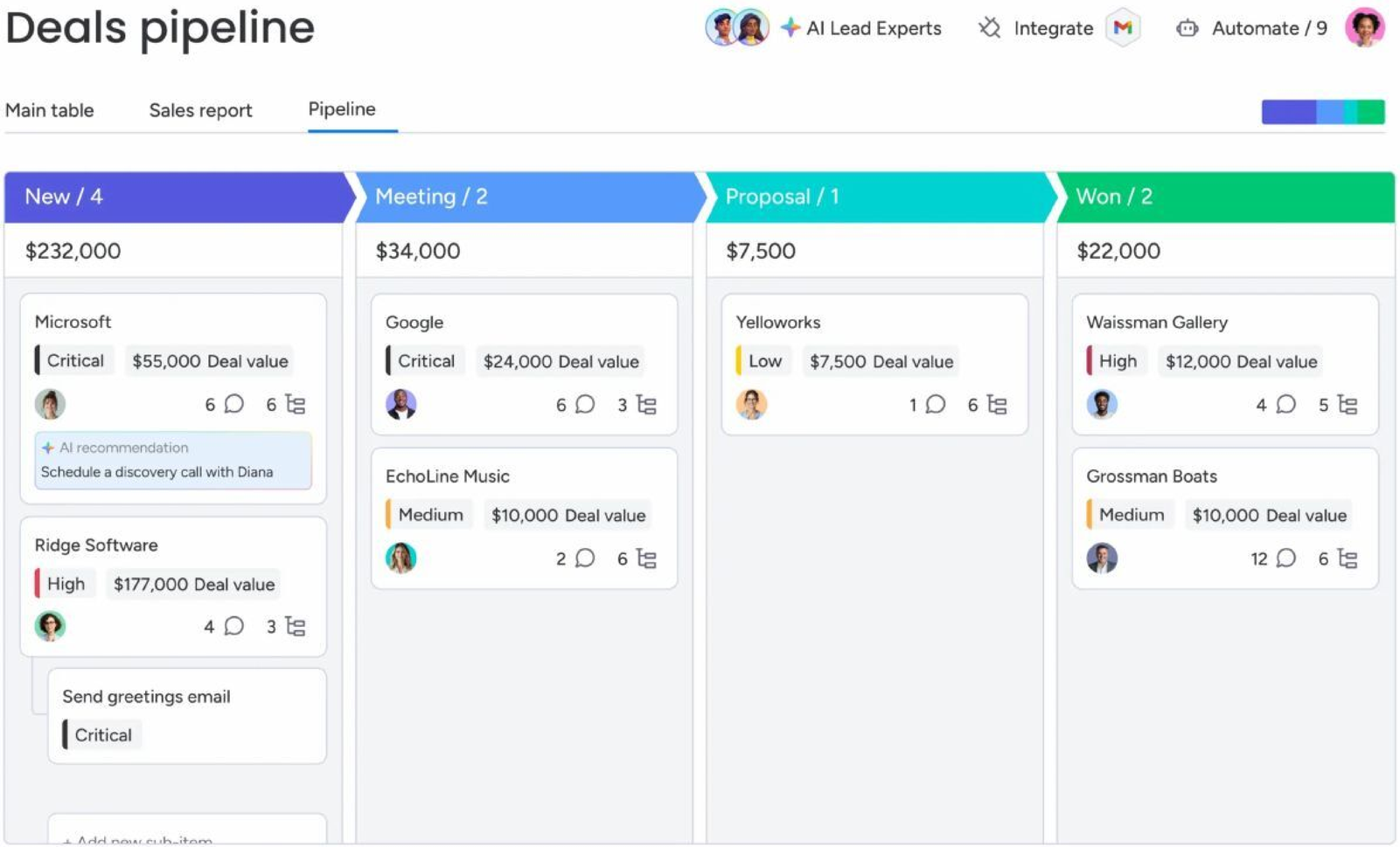
### Sales cycle

Define how long it takes from start to finish, until you closed a deal (or receives the money).

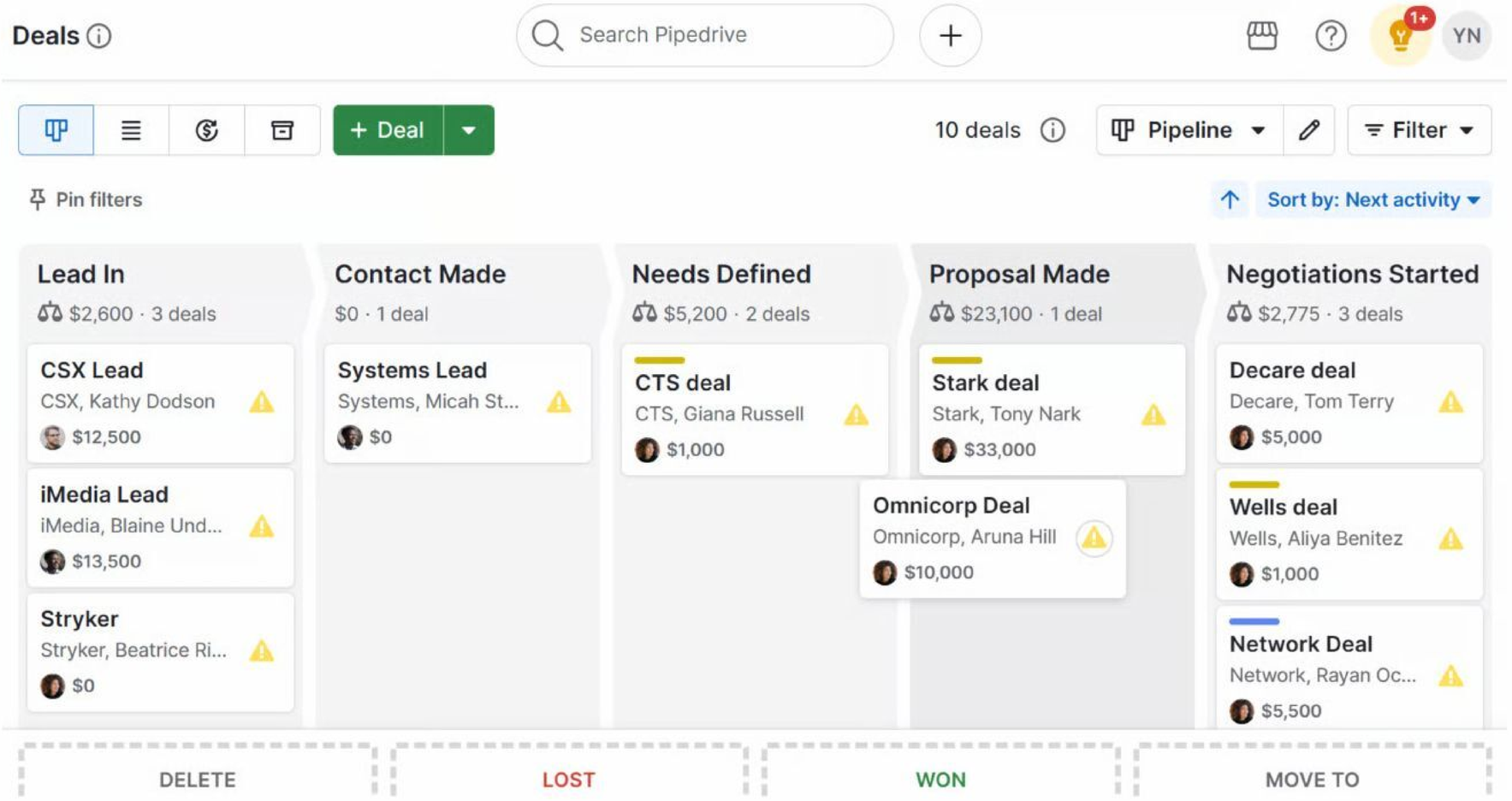
=> Your orgs value through your **efficiency**.


TOTAL CONVERSION RATE 27:1
3:1
9:1
LEAD
2 WEEKS
OPPORTUNITY
6 MONTHS
DEAL
3 MONTHS
SALES CYCLE: 9.5 MONTHS TOTAL
2 WEEKS
6 MONTHS
3 MONTHS
TOTAL SALES CYCLE: 9.5 MONTHS

# Example Monday



# Example Pipedrive

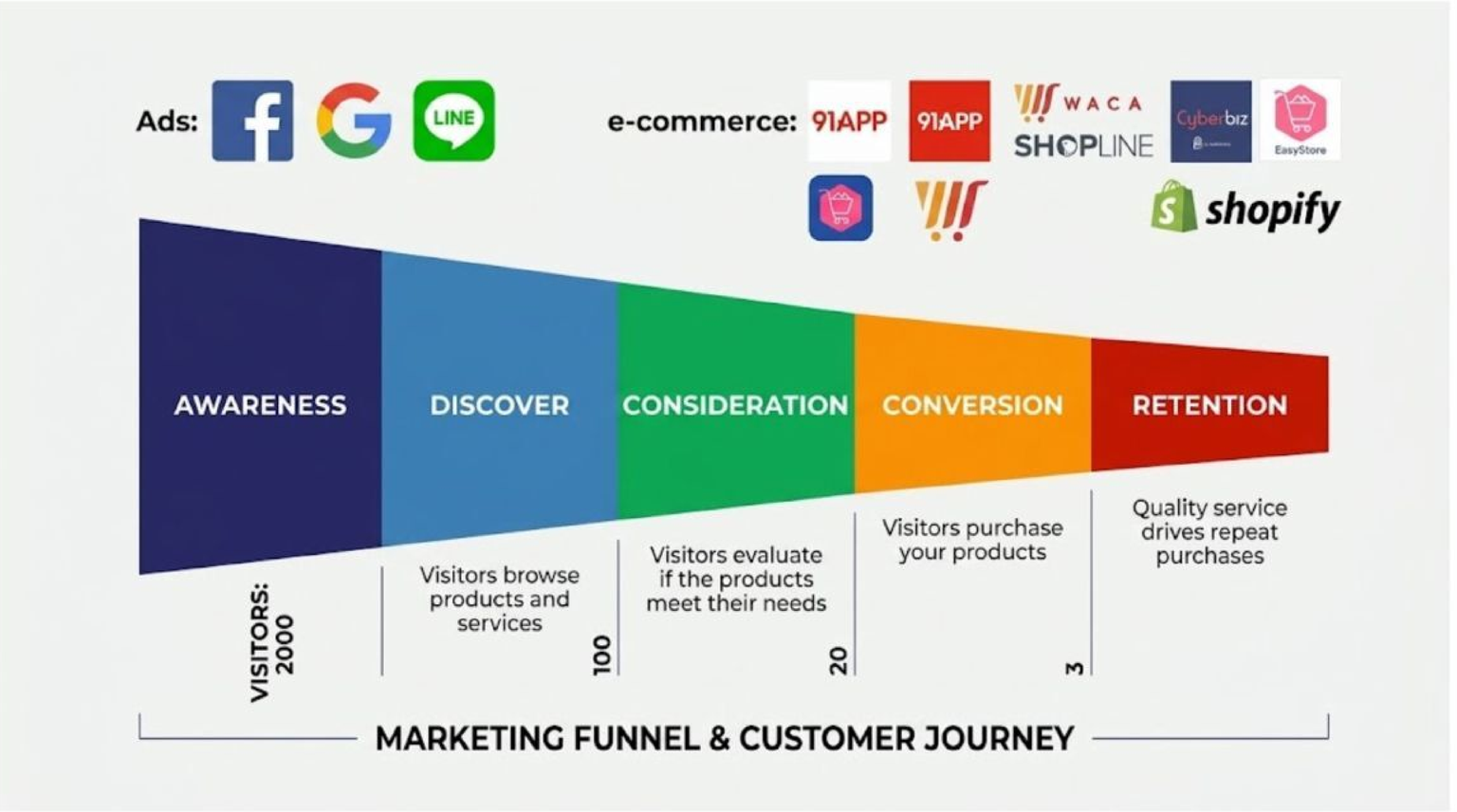


# How does Marketing work in this context?

## Marketing

Publishes medium (massive volume) to motivate a customer to actively enter themselves to a defined stage in the sales pipeline.

E.g. inbound lead so sales can contact
or
E-commerce checkout



# Why it takes time (to ramp up)

## Preparation

**Before**
Sales Deck, Pricing, Offering, Business model

**During**
Demo, Meeting slides, Proposal

**Deal**
Contract, Compliance, Legal

## Unknown market

Who is really your customer?

What are they willing to pay?

What problem do they really need to be solved?

## Unknown metrics

You don't know your key metrics (Conversion Rate and Sales Cycle), at the beginning.

You need these figures to do financial backwards planning

# Watch your cashflow

